

AUTOBANKER

INSIDER STRATEGY GUIDE

THE CREDIT
RECOVERY
PLAYBOOK

HOW EQUIFAX & TRANSUNION ACTUALLY SCORE YOU

Before you can rebuild your credit, you need to know exactly how the algorithms grade you. Many Canadians waste years trying to fix their credit because they focus on the wrong things.

35% - PAYMENT HISTORY

The biggest factor. A single 30-day late payment can drop your score by up to 100 points. Consistency is everything.

30% - CREDIT UTILIZATION

How much of your available credit card limits you are using. Maxed-out cards tank your score immediately.

15% - CREDIT AGE

The average age of all your accounts. Never close your oldest credit card, even if you don't use it anymore.

10% - CREDIT MIX

Having only credit cards is bad. Lenders want to see a mix of revolving credit (cards) and installment credit (car loans).

THE INSTALLMENT LOAN SECRET

If you have bad credit, getting another credit card will barely move your score. Credit cards are "revolving credit," which lenders view as high-risk.

An auto loan is an **installment loan**. Because it is backed by an asset (the car) and has a fixed payment schedule, the credit bureaus weigh it heavily. Making 6 to 12 months of on-time payments on an auto loan is mathematically the fastest way to force your credit score to jump back into the "Good" range.

Insider Secret: After 12 months of perfect payments on a subprime car loan, your score will usually improve enough to qualify for **VIP Refinancing**, cutting your interest rate in half.

3 STEPS TO BOOST YOUR SCORE TODAY

1. THE 30% UTILIZATION RULE

If you have a credit card with a \$1,000 limit, never let the balance go above \$300 (30%). If your cards are currently maxed out, your score is being artificially suppressed. Paying them down to below 30% will trigger an immediate, massive jump in your score the moment the statement cuts next month.

2. SOFT PULLS VS HARD PULLS

Every time a bank checks your credit to approve a loan, it records a "Hard Pull," which drops your score by 5 to 10 points. If you visit a traditional dealership, they might send your application to 10 different banks at once, causing 10 hard pulls and instantly ruining your credit. Always use an auto broker (like AutoBanker) who performs a single soft pull to evaluate your file.

3. DISPUTE BUREAU ERRORS

Over 20% of Canadians have errors on their Equifax or TransUnion reports. You might have late payments listed that you actually paid on time, or old collections that should have fallen off after 6 years. Order your free report directly from Equifax.ca and dispute any errors—they are legally required to remove them within 30 days if they cannot prove them.

READY TO REBUILD?

The fastest way to fix your credit is by driving a car you love with an affordable payment.

Apply now! or Call us directly at 647-931-5876